



Fuel prices: a global rather than an asymmetric shock

Price trends, the weight of taxation and the differentiated impact of the 2025 geopolitical shock

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Executive summary

Between 2024 and 2026, fuel prices rose markedly from early 2026, affecting every economy in the panel — including hydrocarbon-producing countries. The analysis points to an essentially global shock, not an asymmetric effect penalising importing countries alone.

- Main finding: the price rise is broad-based and synchronised; exporters are not spared.
- Explanatory factor: the pre-tax component (market costs, refining) rises faster than taxation within the final price.
- Point of caution: the shock has no significant differential effect on importers' manufacturing output (vs exporters); the sign is positive but the effect is not robust.

DATE

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FIELD

International / Fuels

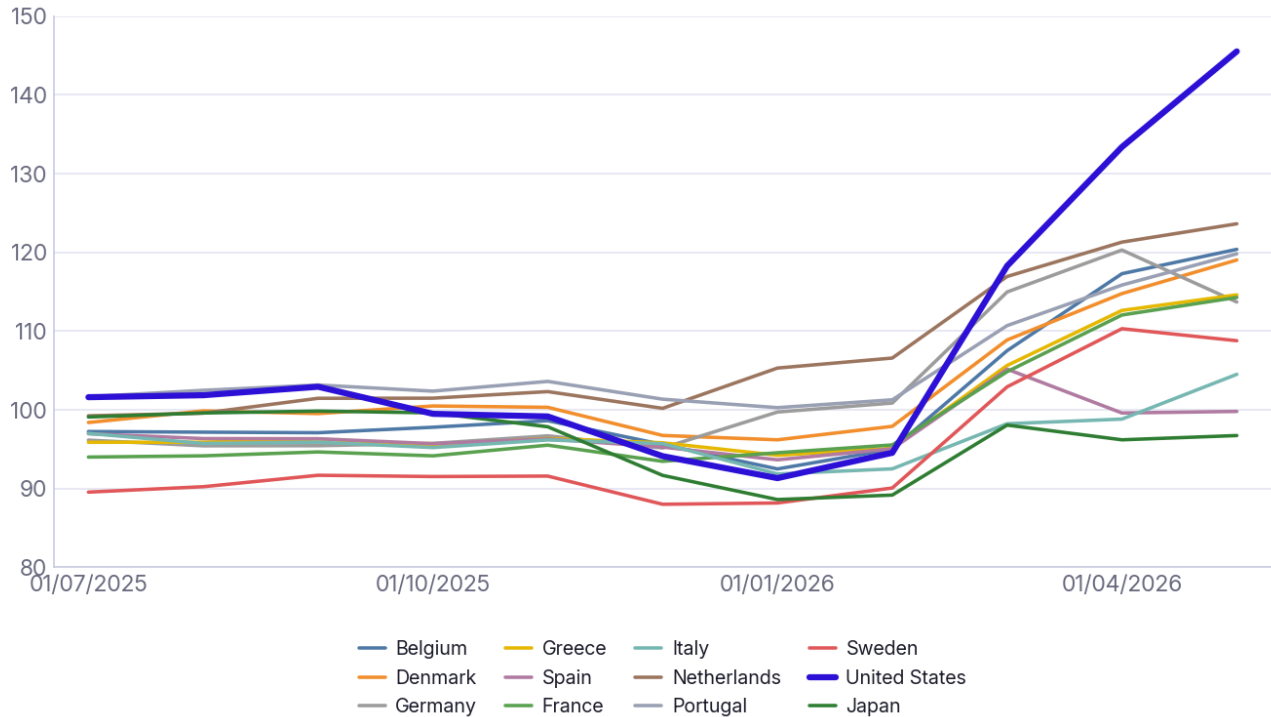
SOURCE

European Commission, FRED

1. Petrol and diesel price trends

Petrol prices followed a relatively contained path in the second half of 2025 before rising more clearly from the start of 2026. The indices stay close to their reference level for several months, then advance unevenly across countries. This pattern suggests a gradual evolution of the petrol market, marked by national differences tied to each market's own conditions.

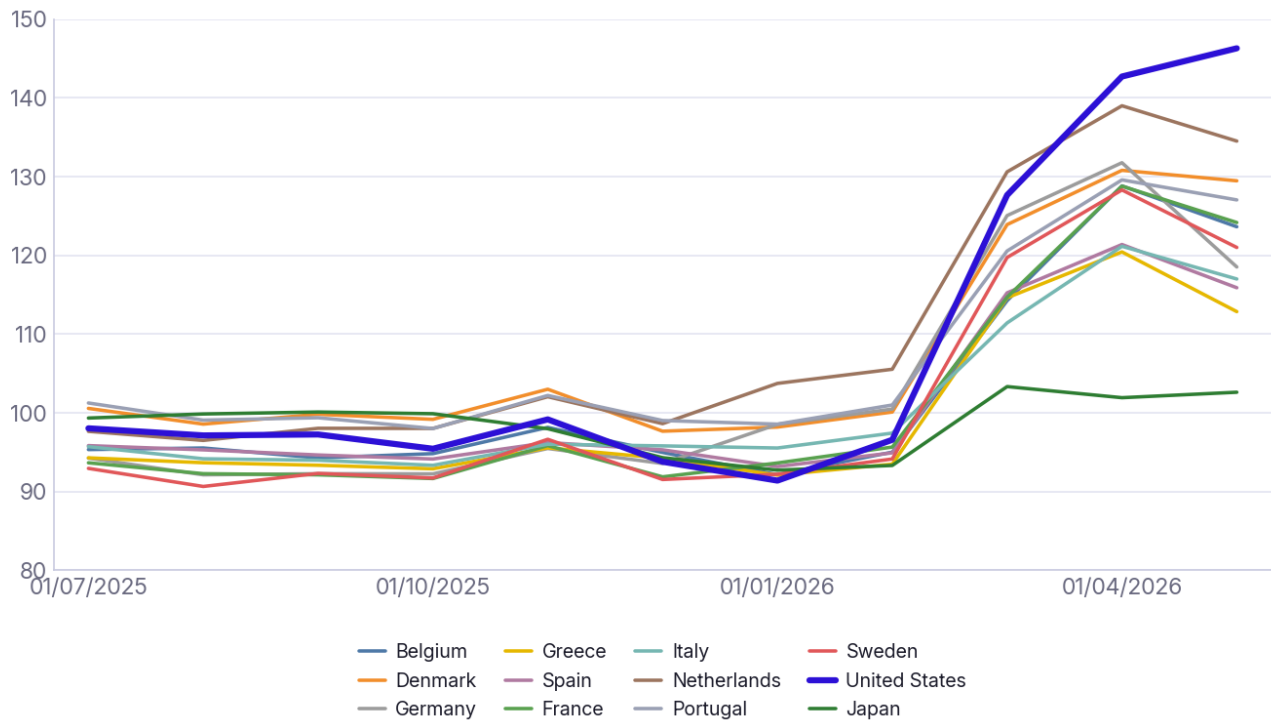
Figure 1. Petrol: a late rise sparing neither importers nor exporters



Source: European Commission (Weekly Oil Bulletin), FRED. Index, base Jan 2024 = 100. Extracted May 2026.

Diesel dynamics appear more pronounced. After a phase of relative stability in 2025, prices rise more strongly at the start of 2026, with a more synchronised increase across the observed countries. This sets diesel apart from petrol, owing to a larger amplitude and a more homogeneous movement across the panel.

Figure 2. Diesel: an earlier and sharper rebound than petrol



Source: European Commission (Weekly Oil Bulletin), FRED. Index, base Jan 2024 = 100. Extracted May 2026.

For both fuels, the observed trends call for nuancing the hypothesis of a rise strictly tied to dependence on oil imports. The increase also concerns producing economies such as the United States, sometimes more markedly than in some importing countries. This suggests the rise does not stem solely from the 2025 geopolitical shock or from countries' importer status alone. It reflects more broadly tensions on oil and refined-product markets, stock levels, refining margins, taxation and national price-setting structures.

Key points

- The price rise is seen for both fuels, but it is stronger and more homogeneous for diesel.
- Exporting countries also experience increases, which rules out the idea of a shock hitting importers only.

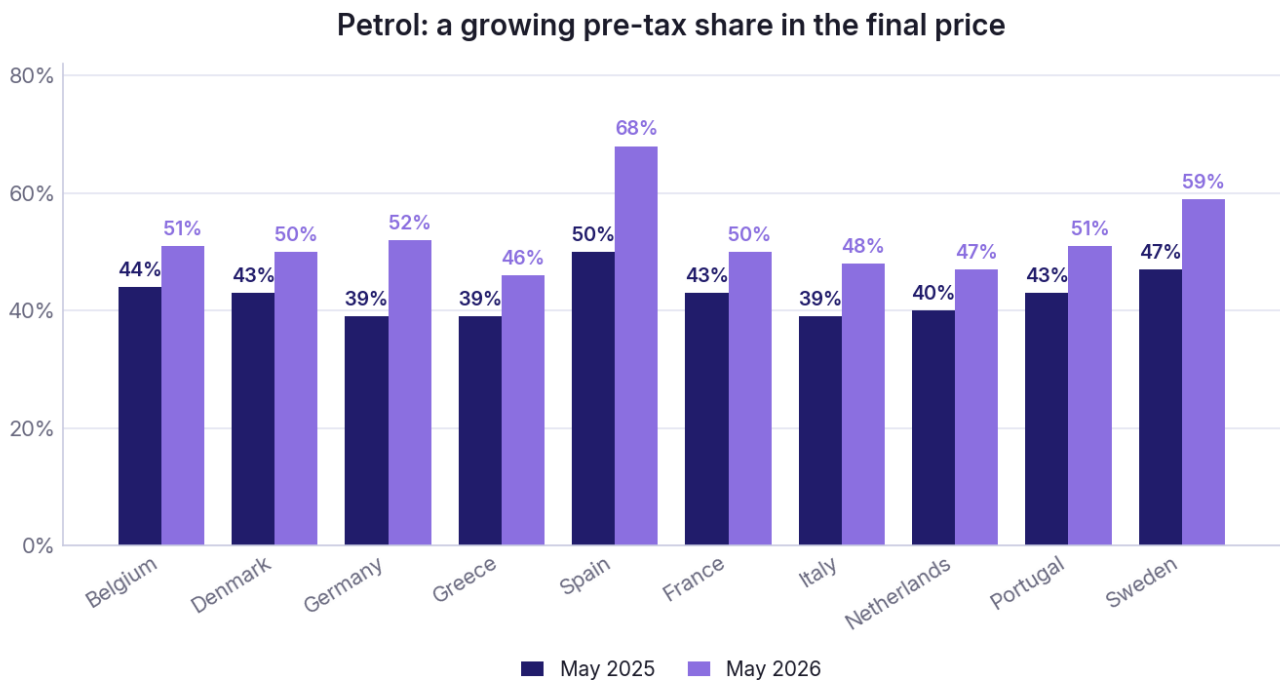
2. The weight of taxation in the pump price

This distinction between the oil shock and the final price paid by consumers leads to a closer look at the structure of pump prices, in particular the weight of taxation.

2.1 Petrol

For petrol, the ratio of pre-tax price to all-tax-included (ATI) price rises in all observed countries between May 2025 and May 2026, indicating that the pre-tax component takes a growing share of the final price. In May 2025 this ratio ranged from 39% (Germany, Greece, Italy) to 50% (Spain); by May 2026 it rises everywhere, with Spain reaching 68%, followed by Sweden (59%) and Germany (52%). The petrol price rise thus appears driven more by the market component than by a relative increase in taxation.

Figure 3. Petrol: a rise driven by the market, not by taxation

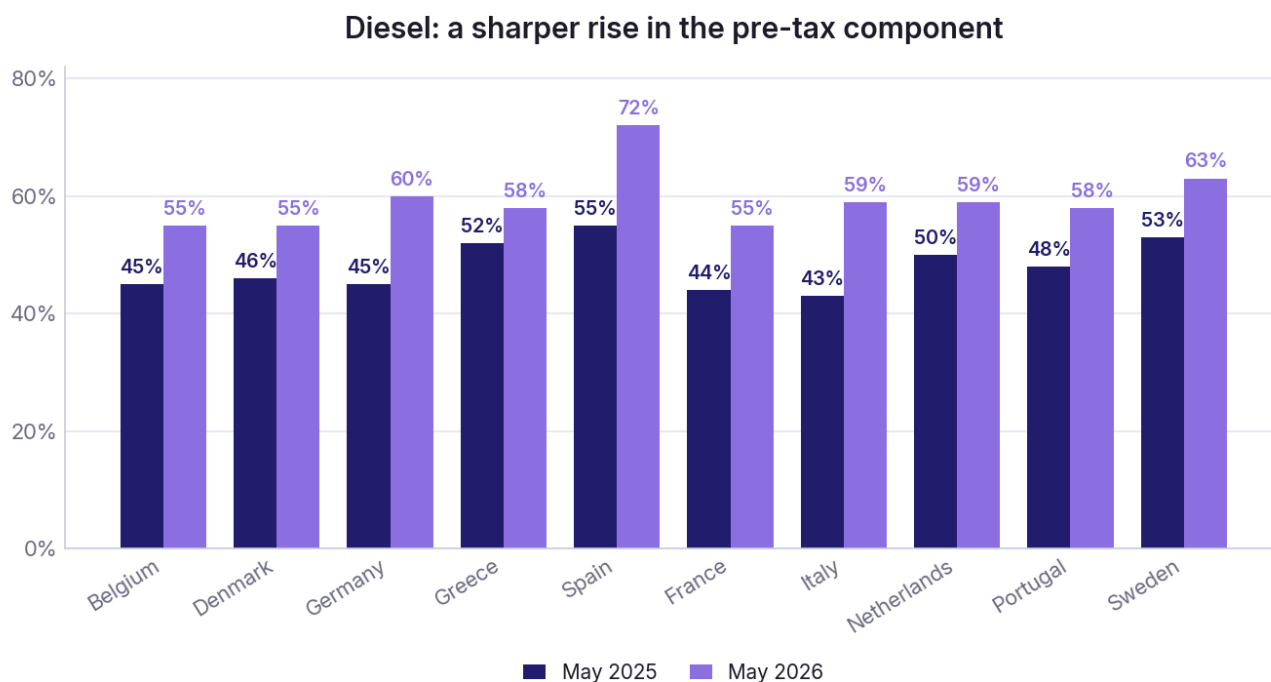


Source: European Commission (Weekly Oil Bulletin). Pre-tax / all-tax-included price ratio, May 2025 vs May 2026.

2.2 Diesel

The picture is even more marked for diesel. Between May 2025 and May 2026 the share of the pre-tax price in the final price rises strongly in most countries, with particularly high levels in Spain (72%), Germany (60%), Sweden (63%), Italy and the Netherlands (59%). This confirms that the diesel rise seen in early 2026 is mainly linked to the pre-tax component — market costs, tensions on refined products, margins and supply conditions.

Figure 4. Diesel: the market share of the price exceeds 60% in several countries



Source: European Commission (Weekly Oil Bulletin). Pre-tax / all-tax-included price ratio, May 2025 vs May 2026.

For both fuels, the rising pre-tax/ATI ratio suggests that the recent increase in pump prices does not mainly come from a relative rise in taxation. Taxation remains a major component of the pump price, but recent dynamics seem driven above all by the rise in the non-tax part of the price: crude prices, refining costs, availability of refined products, distribution margins and supply tensions.

Key points

- The pre-tax share rises in every country, more so for diesel than for petrol.
- The recent rise is driven by the market component, not by heavier taxation.

3. Impact of the shock: a difference-in-differences analysis

The previous parts describe price trends. To measure whether the June 2025 Hormuz shock hit importers and exporters differently, a difference-in-differences (DiD) analysis compares the evolution of three variables — petrol price, diesel price and manufacturing output — between net importers (treated group) and net exporters (control group), before and after the shock. Variables are expressed in logarithms, allowing a percentage reading and better comparability across currencies; standard errors are clustered at the country level.

3.1 Effect on manufacturing output

Table 1 reports the estimated differential effect on manufacturing output, for three cut-off dates (July, September, December 2025) and with or without macroeconomic controls.

Table 1. Differential effect on manufacturing output (dependent variable: log of manufacturing output)

	Jul.	Jul. +ctrl	Sep.	Sep. +ctrl	Dec.	Dec. +ctrl
Differential effect	0.005 (0.014)	0.005 (0.013)	0.010 (0.012)	0.012 (0.012)	0.014 (0.012)	0.017 (0.014)

	Jul.	Jul. +ctrl	Sep.	Sep. +ctrl	Dec.	Dec. +ctrl
log_cpi	—	0.090 (0.204)	—	0.155 (0.196)	—	0.186 (0.194)
log_exchange_rate	—	-0.021 (0.125)	—	-0.017 (0.125)	—	-0.027 (0.131)
N. obs.	416	416	416	416	416	416
R ²	0.664	0.664	0.666	0.667	0.666	0.668
Adjusted R ²	0.627	0.626	0.629	0.628	0.630	0.629
Within R ²	0.002	0.003	0.007	0.010	0.009	0.013
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Date FE	Yes	Yes	Yes	Yes	Yes	Yes

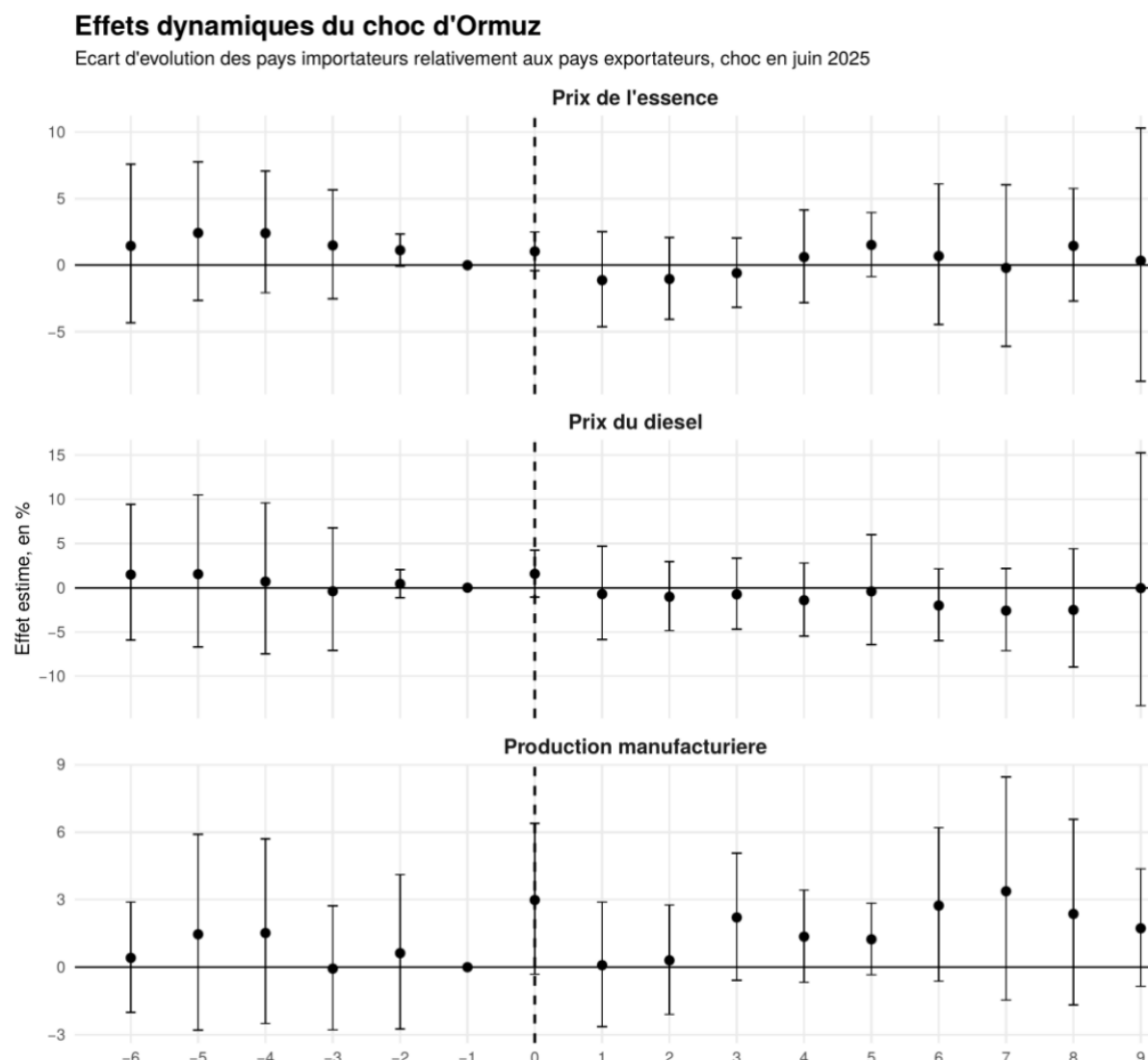
Country-clustered standard errors in parentheses. + p<0.1; * p<0.05; ** p<0.01; *** p<0.001. Country and date fixed effects included. N = 416. Source: Pandora Economics calculations.

The estimated differential effect is positive across all cut-off dates and grows with the horizon — from +0.5% (July) to +1.7% (December with controls) — but remains statistically non-significant in every specification. Neither CPI nor the exchange rate is significant, as expected: date fixed effects already absorb variations common to all countries at each period.

3.2 Dynamic effects: an event-study analysis

The event-study extends the DiD approach by estimating a differential effect for each month around the shock, rather than a single average effect over the whole post-shock period. This both reveals the transmission dynamics and checks for the absence of pre-existing divergence between importers and exporters before the event.

Figure 5. The Hormuz shock did not widen the price gap between importers and exporters



Note: month -1 (May 2025) is the reference. Bars are 95% confidence intervals, using a Student quantile adjusted for the number of clusters. Panels and axes shown in French as in the original. Source: Pandora Economics calculations.

These results must be read within the precise identification adopted. The event-study measures a differential effect between importers and exporters, not the overall effect of the Hormuz shock on energy markets. Time fixed effects control for variations common to all countries, refocusing the analysis on trajectory differences between the two groups. In this light, the absence of a significant effect suggests that, in the sample studied, importers did not see petrol or diesel prices evolve in a statistically different way from exporters after the shock.

Several factors may contribute to this result. The transmission of an oil shock to pump prices can be dampened or delayed by stocks, supply contracts, stabilisation policies, taxes or subsidies. Moreover, the importer/exporter distinction remains a simplification: exposure can vary with the energy mix, import dependence, refining capacity or national price policies. Finally, the event-study estimates month-by-month effects, which is useful but calls for caution when confidence intervals remain wide.

The results should not be read as an absence of any effect of the Hormuz shock on energy markets, but rather as the absence of a statistically robust differentiated transmission between importing and exporting countries in the data studied.

4. Methodological box

Scope	Panel of 16 countries — net importers (EU, Japan) and net exporters (United States, Norway, Canada, Brazil, and other added producers). Variables: ATI fuel prices for petrol and diesel (parts 1–2) and manufacturing output (part 3).
Period	January 2024 – March 2026 (monthly data), i.e. 416 observations over 16 countries. Reference shock: geopolitical tensions of June/July 2025.
Sources	European Commission (Weekly Oil Bulletin); FRED / EIA (United States); national statistical sources (ANP, SSB, Statistics Canada, METI); FRED (exchange rate, CPI).
Method	Difference-in-differences (DiD) model with two-way fixed effects (country and date). Dependent variable: log of manufacturing output. Log-transformed controls: CPI and exchange rate. Country-clustered standard errors. Three cut-off dates tested (July, September, December 2025).
Reading	The “differential effect” coefficient measures the percentage effect on importers’ manufacturing output relative to exporters. The low within- R^2 indicates that fixed effects capture most of the variation; despite clustered standard errors, the small number of clusters (16) calls for caution on inference.

5. Conclusion

Over 2024–2026, the rise in fuel prices appears as a largely global phenomenon rather than an asymmetric shock hitting importing countries alone. Prices rise across the whole panel, including among hydrocarbon producers, and this rise is driven mainly by the pre-tax component of the price — market, refining and supply costs — more than by taxation.

The difference-in-differences analysis reveals no statistically significant differential effect of the Hormuz shock — neither on petrol and diesel prices nor on importers’ manufacturing output compared with exporters. The event-study confirms this while validating the parallel-trends assumption: the two groups moved comparably before the shock and do not diverge significantly afterwards. This result, consistent with the largely global nature of the shock, should nonetheless be interpreted with caution given the panel size (16 countries) and the limited control group. A future enlargement of the exporter panel would refine this diagnosis.

Annex — Group composition

Net importing countries (treated group): Belgium, Denmark, Germany, Greece, Spain, France, Italy, the Netherlands, Portugal, Sweden, Japan.

Net exporting countries (control group): United States, Norway, Canada, Brazil, and other added producers.

Classification based on the net trade balance in petroleum products. Importer or exporter status is a simplification: real exposure to the shock also depends on the energy mix, refining capacity and national price policies.